FINDINGS AND RECOMMENDATIONS

❖ PROBLEM STATEMENT

Analyze the Indian stock market (Nifty Midcap 150) to understand index performance, sector behavior, interest rate sensitivity, inflation impact, and news-driven reactions.

❖ KEY FINDINGS

- Avg monthly Nifty Midcap 150 returns: 1.28%
- Market operates ~68% in bull regime, ~32% in bear regime
- Avg bull run: 874.5 days | Avg bear run: 409 days
- Biggest drawdown: Jan 2007 - Mar 2009 (1901 days to recover)
- Most resilient sectors: FMCG, Auto, IT, Pharma
- Realty most volatile; not recovered since 2008 peak
- Rate hikes ~23%, cuts ~21%, unchanged ~56%
- Rate cuts more impactful for returns than hikes
- Consumer utilities perform best during high rates/inflation
- Capex sectors (Realty, Metal, Bank) perform best in low rates
- Market reacts 1.2-1.65% more to negative news than positive
- Negative news impact lasts >3 months; avg recovery 6 months
- Fastest recovery sectors: Energy, FMCG, Pharma
- Slowest recovery sectors: Realty, Bank, Financial Services, IT

❖ RECOMMENDATIONS

- Invest in market index when uncertain (outperforms most sectors)
- Stay longer in market to benefit from dominant bull regime
- High rates/inflation: invest in consumer utilities (FMCG, Pharma)
- Low rates/inflation: invest in capex-driven sectors (Realty, Metal, Bank)
- Consumer durables safest during uncertain market conditions
- Avoid capex-driven sectors during market shocks